

Retail Customer Growth & CRM Strategy Analysis

Distillerie Grand Dérangement — Business Analytics Case Study

McGill Retail Innovation Challenge | 3rd Place of 45 Teams

■ Competition Achievement

OVERVIEW

Project Summary

This project analyzed customer acquisition, retention, and growth opportunities for Distillerie Grand Dérangement, a Quebec-based craft distillery operating in an increasingly saturated retail environment. The objective was to identify data-driven strategies to improve customer conversion, strengthen retention, and support long-term business growth through tourism and CRM initiatives.

+\$400K	3×	158%	3rd / 45
Projected Revenue Growth (6 Years)	Projected EBIT Growth	Estimated ROI	Competition Placement

BUSINESS CONTEXT

Business Problem

The Quebec craft distillery industry experienced rapid growth in the number of producers while overall market demand growth slowed. Rising competition, increasing production costs, and limited retail shelf space created margin pressure for smaller producers. Key operational challenges included:

- Increasing market saturation and slowing demand growth
- Dependence on traditional retail channels with limited pricing flexibility
- Absence of centralized customer relationship management processes
- Low tourist conversion and repeat visitation rates
- Underutilized customer lifetime value across the visitor journey

RESEARCH & ANALYSIS

Industry & Competitive Analysis

Using IBISWorld market research and competitive benchmarking, the team evaluated industry trends, profitability dynamics, and customer behavior within the Quebec craft distillery sector. Key findings shaped the strategic direction of the project:

- Industry growth lagged the pace of new business creation, confirming increasing market saturation
- Rising raw material and operational costs reduced profitability across smaller producers
- Heavy dependence on retail distribution limited pricing flexibility and direct customer engagement
- Tourism conversion and repeat visit metrics indicated underutilized customer lifetime value
- Direct-to-customer relationships and tourism-driven engagement identified as primary growth levers

STRATEGIC FRAMEWORK

Customer Lifecycle Framework

A structured customer lifecycle framework was developed to map and optimize opportunities across three core stages of the customer journey:

Acquisition	Conversion	Retention
Tourism partnerships and digital exposure	Enhanced visitor experiences and on-site engagement	CRM systems, loyalty programs, and subscriptions

PROPOSED SOLUTION

CRM & Retention Strategy

The project proposed a CRM-driven customer retention strategy designed to transition customer interactions from one-time visits into longer-term relationships supported by data-driven engagement. Core components included:

- Customer data collection through memberships and digital touchpoints
- Automated follow-up communication and personalized promotions
- Loyalty and subscription programs to improve recurring engagement
- Customer segmentation based on purchasing behavior and visit frequency
- KPI monitoring framework for retention, engagement, and repeat visitation

Implementation Roadmap

Phase 1	Phase 2	Phase 3	Phase 4
Foundation Digital marketing infrastructure and CRM platform setup	Launch Membership and loyalty program rollout	Growth Experiential tourism offerings and partnership expansion	Optimize Ongoing KPI evaluation and operational refinement

MY CONTRIBUTIONS

- Industry and competitor analysis (IBISWorld)
- Customer conversion and retention gap evaluation
- CRM and customer retention strategy framework
- Implementation roadmap and KPI development
- Business impact and operational feasibility assessment

TOOLS & SOURCES

- IBISWorld Industry Research
- Financial and Operational KPI Analysis
- CRM and Customer Lifecycle Frameworks
- Business Growth and Forecasting Models

OUTCOMES

Key Learnings

- Industry and competitor analysis in high-growth, saturated markets
- Customer retention and CRM strategy design and measurement
- KPI framework development and financial forecasting
- Translating analytical findings into actionable business recommendations
- Balancing growth ambitions with operational and resource constraints

CRM Strategy	Customer Analytics	Retail Strategy	Business Development	KPI Forecasting	Market Research
--------------	--------------------	-----------------	----------------------	-----------------	-----------------